DETAILED PROJECT REPORT

Earthmoving Equipment Rental

Hire of excavators and backhoe loaders on hourly and daily rates

Term loan proposal for bank appraisal

Promoter	Sri K. Ramesh, Proprietor
Business name	Sri Ramesh Earthmovers
Location	Medchal, Hyderabad, Telangana
Activity	Hiring out earthmoving machines with operators
Project cost	Rs. 15.00 lakh
Term loan applied	Rs. 10.00 lakh for 60 months
Promoter contribution	Rs. 5.00 lakh, 33% of project cost
Monthly instalment	Rs. 22,244 at 12% per annum

Contents

1. Project at a glance
2. Executive summary
3. Promoter and project profile
4. Market and demand
5. Machinery and technical details
6. Cost of the project
7. Means of finance
8. Loan terms and repayment
9. Five year profitability
10. Cash flow statement
11. Projected balance sheet
12. Break even analysis
13. Implementation schedule
14. Risk assessment
15. Document checklist
16. Conclusion

Illustrative example with internally consistent figures.

1. Project at a glance

Proposed activity	Renting out earthmoving machines with operator to site contractors
Machines	2 hydraulic excavators and 1 backhoe loader
Capacity	200 billable hours per machine per month at 60% utilisation
Hire rate	Rs. 180 per hour, dry and wet hire as per site contract
Total cost of project	Rs. 15.00 lakh
Term loan	Rs. 10.00 lakh
Promoter contribution	Rs. 5.00 lakh
Year 1 rental income	Rs. 12.96 lakh
Year 1 net profit after reserve	Rs. 4.07 lakh
Minimum DSCR	2.67x in year 1
Repayment period	60 months

2. Executive summary

The promoter proposes to buy two hydraulic excavators and one backhoe loader and hire them out to civil contractors, road contractors and real estate developers around Hyderabad. The machines are bought with a Rs. 10.00 lakh term loan and Rs. 5.00 lakh of promoter money, of which Rs. 2.00 lakh is kept as working capital for diesel, spares and operator wages.

- Year 1 rental income of Rs. 12.96 lakh from 7,200 billable machine hours, growing to Rs. 19.25 lakh in year 5 as hire rates and utilisation improve.
- Net profit after tax and reserve of Rs. 4.07 lakh in year 1, rising to Rs. 10.22 lakh in year 5.
- Debt service coverage of 2.67x in year 1 and never below 2.67x, against the 1.50x a lender normally asks for.
- The loan closes exactly at zero in the sixtieth month, cash balance grows every year and the balance sheet balances in all five years.
- Three operators and one part time mechanic are employed, and machines are placed on site contracts of three to six months rather than spot hire alone.

3. Promoter and project profile

Sri K. Ramesh is a proprietor with eight years of site supervision experience on road and building contracts. He already holds a light commercial vehicle permit and has worked with two of the three customers listed as prospective hirers. The business will operate from a rented yard at Medchal with space for three machines, a fuel point and a small workshop.

Constitution	Proprietorship
Business name	Sri Ramesh Earthmovers
Registered address	Medchal, Hyderabad, Telangana
Experience	8 years in site supervision and equipment operation
Premises	Rented yard, 2,000 sq ft, lease of 11 months
Employees	3 operators and 1 part time mechanic
Proposed loan	Mudra Tarun term loan of Rs. 10.00 lakh

4. Market and demand

Earthmoving machines are hired by road contractors, layout developers, agricultural land levelling work and small builders. Demand around the proposed location is driven by the outer ring road works, industrial shed construction in Medchal and Medak, and land development in neighbouring mandals. Contractors prefer hiring over owning because a single machine costs more than most small contracts.

Three customers have given written enquiries for a combined 380 hours a month, which is 63% of the billable capacity of 600 hours a month. The remaining hours are met from spot hire through the local operator network. Hire rates for a 14 tonne excavator ranged between Rs. 160 and Rs. 220 per hour in the last twelve months, and the projection uses Rs. 180 per hour.

5. Machinery and technical details

Machine	Qty	Unit cost (Rs. lakh)	Total (Rs. lakh)
Hydraulic excavator, 14 tonne	2	4.50	9.00
Backhoe loader (JCB type), 3CX class	1	3.00	3.00
Sub total machinery			12.00
Refurbishment, transport and registration			**1.00**
Total fixed assets			13.00

Operating assumptions

Working hours per machine per month	200
Utilisation	60%
Billable hours per year	7,200
Hire rate per hour	Rs. 180
Diesel consumption	6 litres per hour
Diesel price assumed	Rs. 92 per litre
Operator salary	Rs. 22,000 per month each
Maintenance and spares	Rs. 90,000 per year
Insurance	Rs. 45,000 per year per machine

Each machine carries an operator, a daily check sheet and a service schedule every 250 hours. Fuel is billed to the customer where the site supplies diesel, otherwise it is recovered in the hire rate. A spare parts fund of Rs. 60,000 is held to avoid idle time during breakdowns.

6. Cost of the project

Particulars	Rs. lakh	% of cost
Machinery	12.00	80%
Refurbishment, transport and registration	1.00	7%
Working capital margin (diesel, spares, wages)	2.00	13%
Total cost of project	**15.00**	**100%**

7. Means of finance

Particulars	Rs. lakh	% of cost
Term loan from bank	10.00	67%
Promoter contribution	5.00	33%
Total	**15.00**	**100%**

8. Loan terms and repayment

Loan amount	Rs. 10.00 lakh
Interest rate	12% per annum on reducing balance
Tenure	60 months
Monthly instalment (EMI)	Rs. 22,244
Total interest over tenure	Rs. 3.35 lakh
Moratorium	None assumed; repayment starts in month 13 after commissioning buffer
Security	Hypothecation of machines and personal guarantee of proprietor

9. Five year profitability projection

Rs. lakh	Year 1	Year 2	Year 3	Year 4	Year 5
Rental income	12.96	14.36	15.88	17.50	19.25
Operating expenses	4.47	4.45	4.45	4.44	4.44
EBITDA	**8.49**	**9.91**	**11.43**	**13.06**	**14.81**
Depreciation	1.95	1.66	1.41	1.20	1.02
Interest on term loan	1.12	0.92	0.70	0.45	0.17
Profit before tax	5.43	7.33	9.32	11.41	13.63
Tax and reserve	1.36	1.83	2.33	2.85	3.41
Net profit after reserve	**4.07**	**5.50**	**6.99**	**8.56**	**10.22**
Principal repaid	1.55	1.75	1.97	2.22	2.50
DSCR	**2.67x**	**3.03x**	**3.41x**	**3.82x**	**4.27x**

Operating expenses cover diesel, operator wages, maintenance, insurance and administration, and fall from 34% of income in year 1 to 23% in year 5 as fixed costs are spread over more billable hours. Depreciation is charged on written down value at 15%.

10. Cash flow statement

Rs. lakh	Year 1	Year 2	Year 3	Year 4	Year 5
Opening cash	2.00	3.59	6.99	11.31	16.63
Operating cash after interest	4.94	7.04	8.27	9.62	11.09
Principal repaid	(1.55)	(1.75)	(1.97)	(2.22)	(2.50)
Owner drawings	(1.80)	(1.89)	(1.98)	(2.08)	(2.19)
Closing cash	**3.59**	**6.99**	**11.31**	**16.63**	**23.03**

11. Projected balance sheet

Rs. lakh	Year 1	Year 2	Year 3	Year 4	Year 5
Machinery at WDV	11.05	9.39	7.98	6.79	5.77
Receivables	1.08	1.20	1.32	1.46	1.60
Cash and bank	3.59	6.99	11.31	16.63	23.03
Total assets	**15.72**	**17.58**	**20.62**	**24.87**	**30.40**
Proprietor capital	7.27	10.88	15.89	22.37	30.40
Term loan outstanding	8.45	6.70	4.73	2.50	0.00
Total capital and liabilities	**15.72**	**17.58**	**20.62**	**24.87**	**30.40**

Assets equal liabilities in every year. The term loan reduces from Rs. 10.00 lakh to nil by the end of year 5, while cash builds from Rs. 3.59 lakh to Rs. 23.03 lakh.

12. Break even analysis

Fixed costs in year 1 (wages, insurance, depreciation, interest)	Rs. 4.85 lakh
Variable costs in year 1 (diesel, maintenance)	Rs. 2.68 lakh
Contribution margin	79%
Break even rental income	**Rs. 6.12 lakh**
Margin of safety on year 1 income	53%
Break even billable hours	3399 hours

13. Implementation schedule

Stage	Indicative timing	Responsibility
Quotation and equipment inspection	Weeks 1-2	Promoter
Application with bank	Week 3	Promoter
Bank appraisal and sanction	Subject to lender	Bank
Promoter contribution and disbursement	After sanction	Promoter / bank
Machinery purchase and insurance	Within 2 weeks of disbursement	Promoter
Commercial operations	After equipment readiness	Promoter / operator

14. Risk assessment and mitigation

Risk	Mitigation
Rental demand falls during monsoon	Site contracts of 3-6 months, two customer segments
Diesel price increase	Fuel clause in hire rate, quarterly revision
Machine breakdown	Operator-led daily checks, service contract, spare fund
Payment delays from customers	30-day credit limit, monthly follow-up, receivables of 1 month only

15. Document checklist

Document	Purpose	Status	Remarks
PAN Card	Identity and tax	Submitted	Self attested copy
Aadhaar Card	Identity and address	Submitted	Address matches electricity bill
Address Proof	Business premises	Submitted	Rental agreement, 11 months
Bank Statements	Repayment track	Submitted	Last 6 months, current account
Machine Quotation	Cost of machinery	Submitted	Dealer quotation, three machines
Insurance Proposal	Asset protection	To be submitted	Policy issued on disbursement
Registration Permissions	Statutory clearance	To be submitted	Applied after purchase

16. Conclusion

The proposal needs Rs. 10.00 lakh of term finance against a total project cost of Rs. 15.00 lakh, with the promoter bringing Rs. 5.00 lakh. Year 1 rental income of Rs. 12.96 lakh supports debt service of 2.67x, the lowest coverage in the five year period is 2.67x, and the loan is fully repaid within the tenure. On these assumptions the project is viable and the loan is repayable.

Declaration: the information and figures in this report are compiled from the quotations, records and enquiries placed on file and are true to the best of my knowledge. The applicant has no borrowings other than those disclosed above, and the machines offered as security are free from any prior charge.